

RESOLUTION NO. _____

ENTITLED: “A RESOLUTION AUTHORIZING SUBMISSION OF AN APPLICATION TO THE WYOMING STATE LOAN AND INVESTMENT BOARD FOR A LOAN FROM THE WYOMING DRINKING WATER STATE REVOLVING FUND FOR AN AMOUNT NOT TO EXCEED \$20,000,000.00 FOR THE LEAD SERVICE LINE INVESTIGATION AND REPLACEMENT PROJECT AND AUTHORIZING THE MAYOR, CITY CLERK, AND DIRECTOR OF THE BOARD OF PUBLIC UTILITIES TO EXECUTE THE APPLICATION AND ALL RELATED DOCUMENTS.”

WHEREAS, Wyoming Statute § 15-7-401, provides for a Board of Public Utilities (BOPU) to manage, operate, maintain and control municipal waterworks, sanitary sewer system and sewage disposal plants;

WHEREAS, Cheyenne City Code, Section 2.68.010, established BOPU to have exclusive authority to manage, operate, maintain and control the Cheyenne Municipal Waterworks, Sanitary Sewage System and Sewage Disposal Plants of the City and to make all rules and regulations necessary for the safe, economical and efficient operation and maintenance of the above facilities;

WHEREAS, the EPA Lead and Copper Rule Revisions (LCRR) and Lead and Copper Rule Improvements (LCRI) require baseline inventories which are due in November 2027 and replacements must begin in 2030 with 10% of total lead, lead impacted, or unknown service lines replaced each year until 2040;

WHEREAS, BOPU will submit an Investigation and Replacement Plan to the EPA outlining how the awarded funds will be used to physically validate unknown service lines and complete required replacement;

WHEREAS, the EPA provided funding to the Wyoming Drinking Water State Revolving Fund (DWSRF) in 2022, and those funds must be distributed by DWSRF to Wyoming water system operators or be at risk to be reverted to the EPA for redistribution to other states;

WHEREAS, BOPU qualifies for zero percent interest and up to 25% principal forgiveness on DWSRF Loan for lead service line related projects;

WHEREAS, the Board of BOPU desires to pursue investigation contracts to identify unknown service materials and replace lead or lead impacted water service lines per guidance of the EPA LCRR and LCRI;

WHEREAS, the Project cost estimate for pothole investigation, service line replacement, and other administrative costs is \$20,000,000.00;

WHEREAS, a loan from the Wyoming Drinking Water State Revolving Fund is subject to a loan origination fee of 0.5 percent, which is estimated to be \$100,000.00;

WHEREAS, the Board recognizes that the annual principal and interest payment on the proposed loan will range from approximately \$750,000.00 to \$1,000,000.00 based on principal forgiveness amount awarded;

WHEREAS, the Board and the Governing Body of the City of Cheyenne are committed to repaying the loan from revenue from the Water Enterprise Fund; and

WHEREAS, the Board recognizes that the Project is necessary to meet EPA guidelines provided in the LCRR and LCRI.

NOW, THEREFORE, BE IT RESOLVED BY THE GOVERNING BODY OF THE CITY OF CHEYENNE, that an application be submitted to the Wyoming State Loan and Investment Board for a loan from the Wyoming Drinking Water State Revolving Fund for an amount not to exceed \$20,000,000.00 for Project costs including, but not limited to, water service line potholing and replacement, administration, and all related costs of the Lead Service Line Investigation and Replacement Project; and

BE IT FURTHER RESOLVED, that the Mayor, the City Clerk, and the Director of the Board of Public Utilities are hereby designated as the authorized representatives of the City of Cheyenne to act on behalf of the City of Cheyenne in all matters related to this application and related documents, including any amendments to the Project Agreement.

PRESENTED, READ AND ADOPTED this ____ day of _____, 2026.

CITY OF CHEYENNE
BY:

Patrick Collins, Mayor

(SEAL)

ATTEST:

Kylie Soden, City Clerk